



TO: Planning and Zoning Commission (P&Z)
FROM: Phil Taylor, Senior Planner
DATE: March 7, 2022
MEETING DATES: March 24, 2022
RE: Voodoo Lounge Preliminary Planned Unit Development ("PUD") & Preliminary Subdivision

PROJECT TITLE: Voodoo Lounge- Preliminary PUD & Preliminary Subdivision

SUMMARY: Consideration of a Preliminary Large-Scale PUD at 235 East Pacific Avenue and 134 South Spruce Street (property) requesting two PUD variations pursuant to LUC Article 6, Division 3 including the following variations: 1) Create a lot over 11,750 square feet pursuant to LUC Section 3-212.C.2.a. The proposed lot totals approximately 17,380.44 square feet. 2) Increase in height from 35' to 36.3' for approximately 18% of the building and a maximum height of 40' for approximately 25% of total lot area; and, Consideration of a Preliminary Large-Scale Subdivision application to create two new lots. One lot of approximately 17,380.44 sq.ft (0.399 acres) and one lot of approximately 5,575.68 sq.ft. (0.128 acres) pursuant to LUC Article 6, Division 4. Review and Recommendation by HARC is required prior to review by the Planning and Zoning Commission.

LEGAL DESCRIPTION: Lots 1,2,3 and 4, Block 10, Town of Telluride; and the east 63.5 feet of Lots 6 and 8, and the north 12 feet of the west 54 feet of Lot 6, Town of Telluride, according to the Plat recorded in Plat Book 28, at Page 1, County of San Miguel, State of Colorado.

ADDRESS: 235 East Pacific Avenue and 134 South Spruce Street.

ZONE DISTRICT: Commercial (C)

OWNER: Town of Telluride

APPLICANT: Maura Trumble, CCY Architects

STAFF MEMBER: Phil Taylor, Senior Planner

LAND USE

EXISTING LAND USE: Mixed Use

FLOOD HAZARD: Not in a designated Flood Zone

GEOLOGIC HAZARD: Not in a Geologic Hazard area

GROUNDWATER: Located in groundwater zone 2, depth at 5'-20'

WETLANDS: Not in a designated wetlands area

ARCHITECTURAL/HISTORIC

TELLURIDE HISTORIC LANDMARK DISTRICT (THLD): Within the THLD

TREATMENT AREA: Warehouse Commercial (WC) and River Park Corridor Overlay (RPC)

HISTORIC RATING: One shed (THAS 1606) is rated as Contributing.

RATED STRUCTURES IN THE IMMEDIATE VICINITY: Yes



ATTACHMENTS:

- 1) Narrative
- 2) Preliminary Subdivision Plat
- 3) Preliminary PUD Drawings
- 4) Vicinity Map
- 5) Existing Conditions Survey
- 6) Preliminary Civil Drawings
- 7) Traffic Opinion Letter
- 8) Electrical Service Estimate
- 9) SMPA Will Serve Letter

MINIMUM APPLICATION CONTENT

The applicant provided the minimum application content required by section 5-202.C.

PUBLIC NOTICE

This item was properly noticed per LUC section 5-204.B.1. The Affidavit of posting is on file with the Planning and Building Department.

ANTICIPATED DEVELOPMENT STEPS ASSOCIATED WITH THIS PROJECT

- Large Scale PUD – Conceptual, Preliminary and Final
- Large Scale Subdivision – Preliminary and Final
- Large Scale HARC Application– Preliminary and Final

PROJECT DESCRIPTION

- Demolition of the Community Room, the Voodoo Lounge Studios, the non-historic shed and the skatepark facilities
- New construction of affordable housing, commercial space, and on-site parking
- Rehabilitation of the Contributing shed

REFERRAL COMMENTS

Numerous comments have been received from community members since the conceptual review of this project. Concerns expressed through public comment are related to traffic, parking and the mass and scale of the proposed structure. In addition to the items listed, comments also expressed concerns about neighborhood compatibility, obstructed views, the relationship to historic structures and moving the Free Box to the subject property. Comments that have been received since Conceptual review have been included in the document packet for review.

PART 1. LARGE-SCALE PRELIMINARY PUD

INTRODUCTION

The purpose of this public hearing is the Planning and Zoning Commission (P&Z) to consider a Preliminary PUD and Preliminary Subdivision application submitted by CCY Architects on behalf of the Town of Telluride. CCY Architects is represented by Maura Trumble. This Preliminary PUD and Preliminary Subdivision are related to the Voodoo Lounge Affordable Housing Project currently under development. This project is slated to be a mixed-use affordable housing project located on a proposed 17,380.44 square foot lot at the northwest corner of Pacific Avenue and Willow Street. This project will provide affordable housing units, commercial space, thirty-two off street parking spaces and public amenity space including public restrooms and a new location for the Free Box.

Multiple lots currently exist and through the subdivision process, these lots will be combined into two new lots.

PLANNED UNIT DEVELOPMENT (“PUD”) PROPOSAL

The Preliminary PUD contains a total land area of approximately 17,380.44 square feet (0.399 acres) and will encumber one lot, known as Lot A.

A Large-Scale PUD requires a three-step process: Conceptual, Preliminary and Final review. The proposed Preliminary PUD reflects the following new and existing uses (numbers are to give a general indication of square footage breakdowns). The below breakdown is illustrative of the new and existing uses being proposed.

Affordable Housing	25,839 sqft.
Commercial	2,881 sqft.
Free Box	157 sqft.
Historic Shed	552 sqft.
Non-Unit	2,376 sqft.
Public Restrooms	213 sqft.
Storage	1,221 sqft.
Total Gross Area	33,241 sqft.

Note: Non-unit uses include mechanical, circulation and other supplemental areas

PUD VARIATIONS REQUESTED

The applicants received Conceptual PUD approval on January 27, 2022. The table below will show what was presented by the applicants at the Conceptual PUD hearing and what is being presented for this Preliminary PUD review.

The applicants are proposing the following Large-Scale PUD requests pursuant to the PUD Table 6-1 Maximum Variations to Dimensional Variations allowed and the zone district standard allowances.

USE BY RIGHT IN COMMERCIAL ZONE DISTRICT	PUD VARIATIONS REQUESTED AT CONCEPTUAL REVIEW	PUD VARIATIONS REQUESTED AT PRELIMINARY REVIEW
Maximum height of 35'	40' for 19% of building 36.3' for most of the building	40' for 25% of building 36.3' for 18% of building
Maximum lot area of 11,750 sf	Maximum lot area of 17,540 sq.ft.	Maximum lot area of 17,540 sq.ft.

The Preliminary PUD application has been modified slightly since Conceptual approval. In summary these changes are as follows:

- An increase in the percentage of the building that will be constructed at the 40' height. The applicant is proposing an additional 6% of lot area be built to a maximum height of 40'.
- A decrease in the percentage of the building that will be constructed at the 36.3' height. The applicant is proposing 18% of the total lot area be constructed at a height of 36.3' where the majority of the building was proposed to the 36.3' height at the Conceptual review.

The applicant states: *"The taller 40' portions are centrally located within the Project where its visibility is minimized from all public rights-of-way. The proposed height increase would be used for additional bedrooms within affordable housing units."*

STAFF ANALYSIS of PUD VARIATIONS REQUESTED

Height: The applicants are requesting a maximum height of 40' for approximately 25% of the total lot area. This is an increase from what was proposed during the Conceptual review of this project. The fourth story appears to be set back significantly from both primary street frontages which visually minimizes the tallest portion of the building from street level. Per the plans provided by the applicant, the main portion of the fourth story is setback approximately 56' from the front property line adjacent to Willow Street and approximately 57' from the side property line adjacent to East Pacific Avenue. Since Conceptual review, the applicants have added an additional bedroom to the fourth story. This extra bedroom is approximately 68' from Willow Street and about 29' from East Pacific Avenue. This fourth story is setback 5' from the side property line along the alley and approximately 10' from the rear property line adjacent to the existing Marshall's building.

Additionally, the proposed 3rd story is set back further than during the Preliminary review. This provides a greater step down to the historic shed structure on site and the historic Blue Crib directly west.

The primary roof forms have also been updated since Preliminary review. Now, the primary roof forms are simple, symmetrical gable roof forms which “reference the variety of historic gabled structures throughout the area...Exterior walls have been articulated to reduce the perceived height while maximizing the number of affordable housing units.”

Staff conclude that the applicants have addressed some concerns that were presented during the Preliminary review of this project and have provided updated documents that further attempt to reduce the overall mass and scale of the building while improving its relationship to the existing historic structures.

Lot Size: The applicants are requesting a maximum lot size of 17,400 square feet. This request has not changed since it was requested during Conceptual review of this project. The applicant states that a lot of this size is necessary to provide the amount of affordable housing and commercial space being proposed. The purpose of a PUD is to achieve an overall development plan that could not otherwise be achieved pursuant to the underlying zoning. A deed restricted housing project, offering over 25,000 square feet of new housing could not otherwise be achieved without approving a larger lot size than allowed by the underlying zone district.

Typically, a lot approved (by PUD or use by right) over 11,750 square feet in the Commercial Zone District has been utilized for accommodations or public facility uses. The proposed lot of 17,540 square feet is comprised of 77.7% deed restricted residential, 8.7% commercial, 1.1% public restrooms and free box, 1.7% historic shed and 3.7% for storage. The remaining 7.1% is comprised of non-unit square feet which includes mechanical, circulation and other supplemental areas.

Staff concludes that the breakdown of proposed and existing uses on site make sense and justify requesting a larger lot size through the PUD process.

(Please note- these percentages are approximate.)

PUD: PUBLIC BENEFITS

LUC Section 6-304.C states that P&Z may authorize variations, such as those requested by the applicant, when “in its sole discretion P&Z determines that granting the variation will enable the applicant to accomplish one or more of the following public purposes...which would otherwise not be achieved or required by the applicable land use regulations.”

- 6-304.C.1. preservation of lands as public open space or protection of wetlands, in Telluride or San Miguel County;
- 6-304.C.2. preservation of the historic character, scale, architectural integrity or cultural resources of structures on a site or within the Telluride Historic Landmark District or the Historic Preservation Overlay District as determined by H.A.R.C.;
- 6-304.C.3. provision of affordable housing, public parking facilities, public recreation facilities, or other community facilities;
- 6-304.C.4. provision of land to be used for necessary public facilities;

- 6-304.C.5. provision of short-term accommodations for visitors; and/or provision of conference facilities, and facilities for performing arts and special events, for visitors and local non-profit organizations.
- 6-304.C.6. provision of restaurant use, or ground floor retail commercial use in excess of the requirements pursuant to the underlying zoning.

The public benefit proposed for Preliminary review has changed slightly since receiving Conceptual approval. During the Conceptual review the applicants were proposing 24,537 square feet of affordable housing. Now, they are proposing 25,839 square feet of affordable housing. This is interpreted by staff as an increase in the public benefits being offered. Square footage has been increased by 1,302 square feet.

PUD REVIEW STANDARDS

A PUD plan and related plat shall only be approved when the reviewing body finds that they comply with the purposes of this Division, the applicable design criteria of Section 6-408, and all other requirements of this Title; and that all uses will be compatible with surrounding structures in use, density, scale, mass and circulation; and that such uses are consistent with the Telluride Master Plan; and that the effects of any differences in use or scale have been mitigated through careful planning.

Staff has provided justification from the applicant in italics. Staff has provided additional analysis related to specific PUD Review Standards that merit additional consideration.

6-313.A. Master Plan

“The Project’s location is well suited for low-intensity commercial uses, affordable housing, public restrooms, and the relocation of the free box, given its proximity to the Town’s commercial core, post office, town park, and other centralized uses. Many articulated goals, policies and master planning visions have relevance to this proposal for multiple uses on the Voodoo lot, and the Town has clearly envisioned this particular property for affordable housing for some time. The property is also proximate to the in-town transit route and within walking distance of the Telluride-Mountain Village gondola and Telluride ski area.”

Master Plan Principles and Values Met with This Development

D. Balance economic development with environmental protection, open space preservation, the provision of housing and preserving the scale of the community.

L. Telluride’s historic buildings will be preserved and celebrated.

O. Maintain and enhance the pedestrian orientation of Telluride.

U. Adequate employee housing will be provided.

V. Town owned laned will be carefully planned.

Master Plan Goals Met with This Development

GOAL E: Provide for the construction and maintenance of affordable housing within the Town and the Region which serves both permanent population and seasonal employees and includes choice for both rental and ownership, in a mixture of locations and unit types.

E.1: Ensure a minimum of 70 percent of those working in the Telluride Region reside within the Telluride Region, achieved through a roughly equal share of public and private resources.